



Freddie Mac Refi Possible

PRIMARY RESIDENCE – RATE/TERM REFINANCE				
Property Type ¹	Maximum LTV	Maximum CLTV/HCLTV	Minimum Credit Score	Underwriting Engine & Required Response
1-unit Condo PUD	97%	Refer to Subordinate Financing section below	NA	LPA – <i>Accept/Eligible</i>
Manufactured Home (double-wide)	95%	Refer to Subordinate Financing section below		LPA – <i>Accept/Eligible</i>

1. Texas properties – any loan that must be classified as Section 50(a)(6) is not eligible for Refi Possible.

PROGRAM SUMMARY

Fixed rate, fully amortizing, conventional conforming first lien mortgage loan program used to refinance one-unit primary residences for borrowers whose [income is at or below 100% of the area median income \(AMI\)](#).

Additional requirements of the existing loan being refinanced include:

- Must be a first lien, conventional mortgage loan currently owned by Freddie Mac, in whole or in part, or securitized by Freddie Mac.
- Must be seasoned at least 12 months (from the original note date to new loan note date).
- Must not be:
 - An existing high LTV refinance loan
 - A Freddie Mac Relief Refinance loan
 - A Freddie Mac Enhanced Relief Refinance loan
 - A Refi Possible loan
 - A loan subject to an outstanding repurchase request
 - A loan subject to recourse, indemnification, or other credit enhancement other than mortgage insurance (unless the new loan is also subject to credit enhancement or it is no longer required)

A look up tool is available at loanlookup.freddiemac.com to determine whether the borrower's existing loan is owned by Freddie Mac. Refer to [Freddie Mac Bulletin 2021-17](#) for further program details.

BORROWER BENEFIT

The refinanced loan must result in both of the following:

- A first lien mortgage interest rate reduction of at least 50 basis points, **and**
- A reduction in the first lien mortgage monthly payment that includes principal, interest, and the mortgage insurance payment (if applicable).

PRODUCTS OFFERED

Product Name	Term
Freddie Mac Refi Possible 30-Year Fixed	30 years
Freddie Mac Refi Possible 25-Year Fixed	25 years
Freddie Mac Refi Possible 20-Year Fixed	20 years
Freddie Mac Refi Possible 15-Year Fixed	15 years
Freddie Mac Refi Possible 10-Year Fixed	10 years

LOAN REGISTRATION

When registering a loan with > 95% LTV, the user will be directed to the Additional Loan Purpose Info section of the online 1003 in [the system](#), where the current First Mortgage Holder must be selected in the drop-down box.

LOAN AMOUNTS

MAXIMUM

Maximum standard conforming loan limits for 1-unit property (high-cost area limits except for standard AK, HI, and USVI limits, are not eligible under this program).

ELIGIBLE BORROWERS

Borrowers whose [income is at or below 100% of the area median income \(AMI\)](#)

Borrowers obligated on the note for the Refi Possible loan must be the same as the borrowers obligated on the note for the loan being refinanced, except that a borrower obligated on the note for the loan being refinanced may be omitted from the note for the Refi Possible loan provided that:

- The loan file contains evidence that the remaining borrower has been making the mortgage payments, including the payments for any secondary financing, for the most recent 12-month period from their own funds; or
- In the case of death, evidence of deceased borrower's death must be documented in loan file.

In all cases, at least one borrower from the mortgage being refinanced must be retained. New borrowers cannot be added.

Non-occupant borrowers are permitted if they were also a borrower on the existing loan, and:

- A maximum LTV, CLTV, and HCLTV ratio of 95% applies (CLTV ratio may be up to 105% when an Affordable/Community Seconds is being resubordinated).

ELIGIBLE PROPERTY TYPES

- 1-unit properties
- Condominiums
- Planned unit developments (PUDs)
- Modular homes
- Manufactured homes, double-wide only

NOTE FOR CONDOS

Lenders are not required to evaluate if the project meets the project eligibility requirements, provided that:

- The lender must confirm the project is not a condominium hotel, or a houseboat, timeshare or segmented ownership project; and
- The project has insurance that meets the applicable property and flood insurance requirements. Master hazard insurance and HO-6 (if required) will be reviewed by Project Review team.

INELIGIBLE PROPERTY TYPES

- Condominiums part of a condominium hotel, or a houseboat, timeshare or segmented ownership project
- Cooperative properties (Flagstar overlay)

MINIMUM CREDIT SCORES

Follow LPA response to determine loan eligibility.

FEES / CLOSING COSTS

There are no limitations on fees or closing costs outside of Flagstar and regulatory standards.

A \$500 credit must be applied to all loans that obtain an appraisal. This credit is not required to be disclosed on the Loan Estimate, but it must be entered as a negative number in the Payoffs and Payments section of the Closing Disclosure and labeled as "RefiNow/Refi Possible Appraisal Credit." Loans that are approved by the underwriter with an Automated Collateral Evaluation (ACE) (a.k.a., Property Inspection Alternative (PIA)) on the feedback report of the last LPA submission will not receive the credit because no appraisal fee will be charged.

QUALIFYING RATE

Note rate

QUALIFYING RATIOS

Debt-to-income (DTI) ratio is limited to a maximum of 65%. Mortgage insurers may have additional restrictions.

RESERVES

Determined by LPA

SUBORDINATE FINANCING

- New subordinate financing is only permitted if it replaces existing subordinate financing.
- Existing subordinate financing:
 - May not be paid off with the proceeds of the new loan, and
 - Can remain in place if it is resubordinated to the new loan:
 - Standard subordinate financing up to 97% CLTV (95% CLTV for manufactured homes)
 - Community Seconds subordinate financing up to 105% CTLV (95% for manuf. homes).
 - May be simultaneously refinanced with the existing first lien mortgage, provided that:
 - The unpaid principal balance (UPB) of the new subordinate lien is not more than the UPB of the subordinate lien being refinanced at the time of payoff, and
 - There is no increase in the monthly principal and interest payment on the subordinate lien.

Refer to the Subordinate Financing section of the [Conventional Underwriting Guidelines](#) for details.

TEMPORARY BUYDOWNS

Not eligible

UNDERWRITING

- Refer to [Freddie Mac Bulletin 2021-17](#), *Introducing Freddie Mac Refi Possible*.
- All loans must be submitted to Loan Product Advisor (LPA) and receive an Accept response.
- Manual underwriting is not allowed (Flagstar overlay).

- Loan Product Advisor (LPA) will return a feedback message identifying all loan casefiles that appear to be eligible for Refi Possible regardless of the product. If a Refi Possible loan is desired, loans will need to be changed to a Refi Possible product and resubmitted to LPA to ensure the loan is fully assessed by LPA as a Refi Possible loan.

BORROWER INCOME LIMIT

- Borrower's qualifying income converted to an annual basis must not exceed [100% of the area median income \(AMI\)](#) for the location of the subject property.
- For purposes of determining eligibility, the lender must include the income from all borrowers who will sign the note to the extent that the income is considered in evaluating creditworthiness for the loan; for example: if there are two borrowers on a loan application, the lender will use the combined total qualifying income amount to determine whether the AMI limit has been met.
- Loan Product Advisor will determine the income eligibility of the loan.

DOCUMENTATION REQUIREMENTS

Income Type	Minimum Documentation Requirements
Base non-fluctuating employment (primary only)	- Year-to-date (YTD) paystub documenting the YTD earnings 10-day pre-closing verification of employment
Fluctuating hourly employment (primary only) Tip, bonus, overtime and commission income	- YTD paystub documenting the YTD earnings - W-2 for the most recent calendar year 10-day pre-closing verification of employment
Military income (basic pay, entitlements, Reserve and National Guard income)	Military Leave and Earnings Statement
Self-employment	- Complete federal individual and business income tax returns for the most recent one-year period, and - Verification of the current existence of the business through a third-party source obtained either no more than 120 calendar days prior to Note Date or after the Note Date but prior to the Delivery Date
Alimony, child support or separate maintenance	- Documentation to evidence receipt of the alimony, child support and/or separate maintenance payment amount for the most recent one months, and - Copy of the signed court order, legally binding separation agreement and/or final divorce decree verifying the payor's obligation for the previous one months, including the amount and the duration of the obligation
All Other Eligible Income Types	Standard guideline requirements; refer to the Conventional Underwriting Guidelines

The following additional documentation requirements apply:

- Verbal verification of employment (employed or self-employment) is required as noted in the [Conventional Underwriting Guidelines](#).
- Verification of funds to close (only if more than \$500) are required. Acceptable asset documentation includes one-month account statement or direct account verification.
- Verification and consideration of recurring alimony and child support payments as a liability, if applicable, are required. Acceptable documentation includes a copy of the divorce decree, separation agreement, court order, or equivalent documentation confirming the amount of the obligation.

PAYMENT HISTORY REQUIREMENTS

Financed properties, including the subject property, must adhere to the mortgage history requirements per the *Conventional Underwriting Guidelines*.

The credit report can be relied on for determination of the payment history up to the date last reported on credit. Additional due diligence is required to review the payment history between the date last reported and the Note date.

Missed payments resulting from a COVID-related forbearance must meet the eligibility requirements (e.g. reinstatement or approved servicer resolution) prior to consummation.

For the loan being refinanced, the loan must not have been:

- 30 days delinquent in the most recent six months.
- 30 days delinquent more than once in the most recent 12 months.
- 60 or more days delinquent in the most recent 12 months.

See the [Eligible Borrowers](#) section for additional requirements when one or more borrowers on the existing loan are being removed.

SPECIAL FEATURE CODE

All Refi Possible loans require Special Feature Code (Freddie Mac uses the term Investor Feature Identifier) J05.

SIGNIFICANT DEROGATORY CREDIT

For Freddie Mac loans with an Accept response from LPA, the significance of the derogatory event (bankruptcy, foreclosure, deed-in-lieu, or short sale) has been considered in the risk assessment and the borrower's credit reputation has been deemed acceptable. No further documentation or recovery time period must be met.

UNDERWRITER REFI POSSIBLE WORKSHEET

The underwriter must use the RefiNow/Refi Possible worksheet, Doc. #3296, to:

- Validate the maximum interest rate,
- Validate the maximum principal, interest and mortgage insurance (if applicable) payment, AND
- Validate that the borrower does not receive in excess of \$250 in cash back at closing.

As stated on the worksheet, the following items **MUST** be submitted for all Refi Possible applications to aid in verifying the calculations:

- *Loan File **must** contain documentation to support current interest rate, principal and interest payment, and MI payment (e.g. Note, Mortgage Statement, etc.).*
- *Loan commitment expiration date cannot exceed the end of the month proceeding the next payment due date.*

USE OF PROCEEDS

The proceeds of the Refi Possible loan must be used only to:

- Pay off the first mortgage
- Disburse cash to the borrower not to exceed \$250



Freddie Mac Refi Possible

In the event there are remaining proceeds from the Refi Possible loan after the proceeds are applied as described above, the excess proceeds must be applied as a principal curtailment to the Refi Possible loan and must be clearly reflected on the Closing Disclosure.

Subordinate liens, even if used for the purchase of the property and otherwise eligible for pay off with a rate/term refinance, may not be paid off with proceeds of a Refi Possible loan.

TEXAS REFINANCE LOANS

All refinance loans in Texas will be evaluated against the criteria outlined in our [Conventional Underwriting Guidelines](#), Texas Refinances section to determine if the loan must be originated under the requirements of Section 50(a)(6) of the Texas Constitution. Loans that must be treated as Section 50(a)(6) are not eligible under this program.

MORTGAGE INSURANCE

Mortgage insurance providers may have additional restrictions not listed within this document; check the provider's website for completed details. Prior to running an MI quote through the Mortgage Insurance screen in **the system**, users will be asked to complete a new field to identify the existing MI provider on the loan.

MI Company	How They are Handling Refi Possible Applications
Arch	Will insure only Refi Possible loans if they currently insure the borrower's existing loan
MGIC	
Radian	
Enact (f.k.a. Genworth)	Will insure any loan that meets Refi Possible guidelines, regardless of the current MI provider
National	

STANDARD MORTGAGE INSURANCE GUIDELINES

All loans above 80% LTV require mortgage insurance coverage according to the following guidelines.

LTV	> 20-Year Term	<= 20-Year Term	Manufactured Home All Loan Terms
95.01 - 97%	35%	35%	NA
90.01 - 95%	30%	25%	30%
85.01 - 90%	25%	12%	25%
80.01 - 85%	12%	6%	12%

Single financed and lender paid MI options are not eligible under this program (Flagstar overlay).

STATE ELIGIBILITY

States not listed are available without restrictions.

State	Restriction
Puerto Rico	Not eligible
Texas	Loans that must be classified as Section 50(a)(6) loans are not eligible

PREPAYMENT PENALTY

None



Freddie Mac Refi Possible

CLOSING DOCUMENTATION

Closing docs may be ordered through Flagstar's Web Based Closing Docs (WBCD) service available in [the system](#).

A \$500 credit must be applied to all loans that obtain an appraisal. The credit must be entered as a negative number in the Payoffs and Payments section of the Closing Disclosure and labeled as "RefiNow/Refi Possible Appraisal Credit." Loans that are approved by the underwriter with a Property Inspection Alternative (PIA) on the findings of the last LPA submission will not receive the credit because there will be no appraisal fee charged.

Borrowers may not receive cash out at closing in excess of \$250. Excess proceeds must be applied as a curtailment on the new loan and must be clearly reflected on the Closing Disclosure.

ALL LOANS:

- Fannie Mae/Freddie Mac Uniform Security Instrument, 3000-series
- Fannie Mae/Freddie Mac multi-state Fixed Rate Note, 3200-series
- Standard title commitment with all applicable endorsements

IF APPLICABLE:

- Fannie Mae/Freddie Mac multi-state Condo Rider, Form #3140
- Fannie Mae/Freddie Mac multi-state PUD Rider, Form #3150

LOAN DELIVERY INFORMATION

When delivering loans to Freddie Mac, sellers must include the following ULDD Data Points:

- Related Loan Investor Type (Sort ID 222): FRE
- Related Investor Loan Identifier (Sort ID 221): <Associated FRE Loan #>, the 9-digit Freddie Mac loan number assigned to the original Mortgage
- Investor Feature Identifier (Sort ID 368): J05, indicating Refi Possible Mortgage